

Overview Income Distribution

Income and wealth

Are different concepts

Income represents a flow of funds

Wealth is a stock of assets

The more income a household has, the greater the capacity for building wealth over time

Income

Most households have more than one source of private income (wages, salaries, investment, pension etc)

Gross income is determined by adding any transfers a household receives from government eg pension

Direct and indirect taxes are deducted to determine disposable income

Most households also receive some form of indirect benefit such as assistance with school fees or healthcare costs, which adds to final income.

Wealth

The current value of the assets a household has accumulated over time through savings ; financial investments business profits and inheritance

The ABS defines wealth as the difference between a household's assets and its liabilities

Household assets are generally held as property, shares, savings and super, while liabilities include mortgages, personal loans and credit card debt

The Lorenz Curve

GINI COEFFICIENT AND LORENZ CURVE MULTI CHOICE

Used to show the degree of income inequality

Curve shows the percentage of income received by different sections of the population

Cumulative data

Level of income is y axis percentage of population is x axis

If everyone receives the same income the line will be straight equality line

The further away from 45 degrees the worse the distribution of income

The Lorenz curve plots the actual relationship between the percentages of the population and the shares of income they receive

The gini coefficient is a measure that indicates the degree of curvature of concavity of the line

area between diagonal and Lorenz curve/entire area under diagonal

If there were perfect equality the coefficient would be 0

If it is complete inequality the coefficient would be 1

Is a summary measure of income inequality and in Lorenz diagram is the ration of the area between the diagonal and the Lorenz curve to the total area under the diagonal

The closer to 0 the greater the income equality the closer to 1 the greater the inequality